

## Supply Chain Model Evaluation and Execution Framework for COFCO Food Overseas DTC Business

*(Focus Product: Luncheon Meat Canned Products)*

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### Introduction: Project Background and Core Objectives

This report provides a **standardized, replicable, and compliance-driven supply chain execution framework** to support COFCO Group's overseas **Direct-to-Consumer (DTC)** business across **five target international markets**, with a primary focus on **luncheon meat canned products**.

As global consumer purchasing behavior increasingly shifts online, the DTC model offers brands an unprecedented opportunity to engage directly with end consumers. However, particularly when operating across multiple countries in parallel, the success of this model is **highly dependent on the robustness of backend supply chain capabilities**.

In a multi-country, online-first operating model, **supply chain stability, regulatory compliance, and fulfillment quality** form the foundation of brand success. Any failure—whether at customs clearance, quality inspection, warehousing, or last-mile delivery—can be directly translated into negative consumer experiences, potentially damaging brand equity built over decades.

As the **architect of the project structure**, this report systematically deconstructs each critical node in the supply chain—from customs clearance and regulatory compliance to warehousing and final delivery—providing manufacturers with a **clear risk assessment and decision framework**.

The core objective is clear:

By establishing a **Singapore-centered coordination hub** with a validated operational framework, significantly reduce COFCO's management complexity and trial-and-error costs when entering new markets, while ensuring a **consistent, high-standard brand experience across all target countries**.

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### 1. Model Rationale: Why a “Local Partner + Singapore Hub” Architecture

This section explains why the proposed operating model represents the **optimal solution** to current cross-border DTC challenges, particularly in terms of **fulfillment stability** and **multi-market complexity management**.

## Comparative Analysis:

### Direct Shipping from China vs. Localized Fulfillment

While traditional B2C cross-border parcel shipping may appear lightweight, for **highly regulated food categories**, it introduces substantially higher risks and uncertainty compared to localized fulfillment.

| Dimension                     | Cross-Border Parcel Shipping (B2C)                                           | Localized Fulfillment Model                                               |
|-------------------------------|------------------------------------------------------------------------------|---------------------------------------------------------------------------|
| Fulfillment Speed & Stability | 7–14 days or longer; subject to flight schedules and multiple transshipments | 1–3 days via local warehouse; aligned with local e-commerce standards     |
| Customs Certainty             | Random inspection, opaque processes, high risk of detention or return        | Formal B2B declaration via licensed local importer; predictable clearance |
| Returns & After-Sales         | Extremely costly reverse logistics; often abandoned                          | Local warehouse enables inspection, restocking, or destruction            |
| Compliance Risk               | Manufacturer faces regulators directly                                       | Local partner interfaces with regulators, creating a compliance firewall  |

### Core Supply Chain Requirements of DTC Operations

DTC fundamentally means that **brand promises are delivered directly to consumers**, and supply chain performance is the physical mechanism that fulfills those promises.

- **Inventory Visibility:**  
Real-time synchronization between online storefronts and physical inventory requires a **local Warehouse Management System (WMS)**—impossible under direct cross-border shipping.
- **Fulfillment Speed:**  
Consumers accustomed to platforms such as Shopee or RedMart expect next-day or same-day delivery, achievable only through local warehousing.
- **Fulfillment Consistency:**  
Every delivery is a “vote” for brand reputation. Inventory must be

positioned within the target market to eliminate uncontrollable international variables.

### **Why a Neutral Regional Coordination Hub (Singapore) Is Essential**

As DTC expands from a single market to multiple countries, a **neutral, professional coordination hub** becomes critical. This hub is not administrative—it functions as the **strategic brain and compliance firewall**.

- **Standardization & Knowledge Accumulation:**  
Singapore's stringent food regulatory regime allows successful compliance pathways to be codified into reusable SOPs, accelerating entry into subsequent markets.
- **Partner Management:**  
The hub centrally sources, contracts, trains, and evaluates local partners. For the manufacturer, fragmented local execution is converted into standardized KPI-based oversight.
- **Neutrality & Trust:**  
Singapore's legal credibility and trade neutrality provide a strong trust foundation for multi-country coordination.

With the “why” clarified, the following sections focus on **how execution is carried out**, beginning with customs clearance.

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## **2. Standard Operating Procedure (SOP):**

### **Customs Clearance for Canned Food Across Five Markets**

This section avoids listing country-specific regulations. Instead, it provides a **process-level framework** enabling manufacturers to assess risks and execution readiness.

#### **Four-Stage Clearance Framework**

##### **Stage 1: Entity Qualification (Foundation)**

Before shipment:

- Local partner must be a registered legal entity (e.g., UEN in Singapore).
- Import accounts must be activated with customs.
- Category-specific licenses must be obtained (e.g., **Meat & Fish Import License** in Singapore).

Without this foundation, clearance cannot proceed.

## Stage 2: Documentation Preparation (Core Determinant)

| Document                          | Provider             | Notes                                                    |
|-----------------------------------|----------------------|----------------------------------------------------------|
| Health Certificate                | Manufacturer (COFCO) | Issued per batch by exporting authority (e.g., GACC)     |
| Certificate of Origin             | Manufacturer         | Used for tariff and trade policy                         |
| Commercial Invoice & Packing List | Manufacturer         | Basis for customs valuation                              |
| HS Code & Product Code Mapping    | Local Partner        | Highly technical; misclassification leads to failure     |
| Import Permit Application         | Local Partner        | Submitted via local systems (e.g., TradeNet)             |
| Factory Accreditation Proof       | Manufacturer / Hub   | Must be active in regulator's overseas facility database |

## Stage 3: Declaration & Port Inspection

Upon arrival, authorities may issue:

- **Direct Release**
- **Physical Inspection**
- **Hold & Test** (sampling and lab testing; weeks of delay possible)

## Stage 4: Risk Points & Contingency Planning

Common risks include:

- Demurrage and detention fees
- Requests for additional documentation
- Label non-compliance
- Batch testing and regulator demerit systems

## Manufacturer's Ultimate Responsibility Boundary

While execution may be outsourced, **legal and brand responsibility cannot**. COFCO remains the final guarantor of all product claims—from “**>90% meat content**” to **121°C sterilization processes**. Any discrepancy identified by regulators traces back to the manufacturer.

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### **3. Compliance Asset Strategy:**

#### **Building a Reusable “Compliance Pack”**

The core principle:

Transform compliance from a reactive task into a **managed, reusable asset**.

#### **Structure of the Compliance Pack**

##### **Part A: Long-Term Core Assets (One-Time Preparation)**

- Factory certifications (ISO, HACCP)
- Overseas regulator facility approval
- Product specification sheets
- Third-party lab reports (e.g., SGS meat content, nitrite limits)

##### **Part B: Batch-Specific Documents**

- Health Certificate
- Certificate of Origin
- Invoice & Packing List

#### **Strategic Value**

- Faster market entry
- Consistent regulatory communication
- Reduced internal workload through centralized maintenance

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### **4. Warehousing & Inventory Management Standards**

#### **for Luncheon Meat Products**

Food warehousing is not just space—it is **regulated food infrastructure**.

#### **Key Requirements**

- Licensed food warehouse
- Dry, ventilated, temperature-stable environment
- Pest control programs
- Rack storage with clearance from floor and walls

#### **Inventory Control**

- **FEFO (First-Expired-First-Out)** enforcement via WMS
- Full batch traceability
- Dedicated returns handling zones

#### **Minimum Warehouse Qualification Checklist**

- Food warehouse license
- WMS with batch & expiry control
- Traceability reporting capability
- Standardized SOPs

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### **5. Fulfillment & Brand Experience:**

#### **Why Last-Mile Delivery Matters**

Last-mile delivery is the **final physical brand touchpoint**.

#### **Key Risks**

- Can damage (appearance + perceived safety)
- Failed delivery in tropical climates
- Courier behavior as brand proxy

#### **Risk Mitigation Framework**

- Mandated Tier-1 local couriers
- Reinforced packaging for premium SKUs
- Proactive delivery communication
- Rapid customer resolution mechanisms

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### **6. Conclusion & Manufacturer Readiness Checklist**

The “**Local Partner + Singapore Hub**” model is not outsourcing—it is a **systemic operating architecture** that converts complexity into measurable, controllable modules.

#### **Manufacturer Readiness Checklist**

- Long-term commitment to overseas DTC
- Willingness to invest in compliance asset building

- Acceptance of centralized coordination & KPI-based oversight
- Standardized export-ready product lines
- Internal cross-department collaboration readiness
- Recognition that fulfillment quality is part of brand value